OCAD - ONE COMPANY A DAY

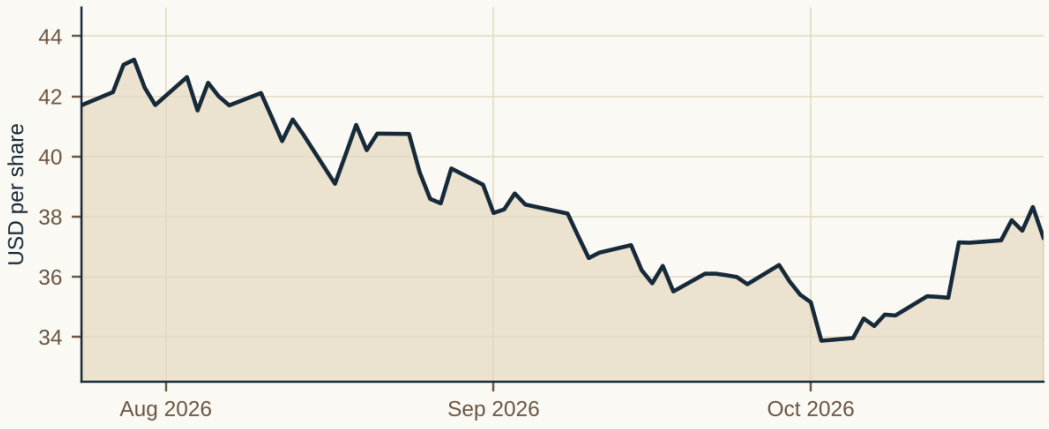
SERIES: CONSUMER DISCRETIONARY

NIKE, Inc.

NKE | New York Stock Exchange

USD 37.30 per share

Closing price, Friday 23 October 2026, latest completed trading day



NKE daily closing price, 24 July to 23 October 2026, USD per share.
Source: Alpha Vantage daily series, cross-checked with StockAnalysis.com.

REPORT DATE	ANALYST	SERIES	EXCHANGE
24 October 2026	Arthur Faugeron	Consumer Discretionary	New York Stock Exchange

Executive Summary

NIKE is the largest athletic footwear and apparel brand in the world, with USD 46.4bn of revenue in the fiscal year ended 31 May 2026, but it is in the third year of a reset: revenue is 9.7% below its fiscal 2024 peak, operating margin has fallen by more than a third from 13.1% to 8.2%, and the shares trade 79% below their November 2021 closing high. The question for an investor is whether the current price already discounts a recovery to normal margins, and how much of reported fiscal 2026 profit was one-off.

Business

NIKE designs, markets and sells athletic footwear, apparel and equipment under the NIKE, Jordan and Converse brands, with footwear at 65% of NIKE Brand revenue. Products are made by third-party contract factories (Vietnam, Indonesia and China build 95% of footwear) and sold through wholesale partners (USD 27.5bn) and NIKE Direct stores and digital channels (USD 17.7bn); the United States is 44% of revenue.

Financial Condition

Fiscal 2026 revenue was USD 46.4bn (+0.2%), gross margin 42.9%, net income USD 3.1bn and diluted EPS USD 2.10, but fourth-quarter gross profit contained about USD 986m of expected tariff recoveries; excluding it, gross margin was about 40.8% and EPS about USD 1.58. Operating cash flow was USD 2.9bn and free cash flow USD 2.2bn, below the USD 2.4bn of dividends. The balance sheet is sound: cash and short-term investments of USD 8.4bn against USD 7.9bn of bonds at 31 August 2026.

Market Position

NIKE competes with adidas, Puma, ASICS, New Balance, On, Hoka (Deckers), lululemon and fast-growing local brands in China. Its advantages are brand scale, athlete endorsements, a USD 4.8bn demand-creation budget and global distribution; its weaknesses are a lifestyle franchise that has lost heat, weak China performance (Greater China revenue down 22% in the latest quarter) and tariff exposure.

Valuation

At USD 37.30 the market capitalization is USD 55.4bn and enterprise value USD 58.0bn (including leases). Trailing P/E is 17.8x, forward P/E about 28.7x, EV/EBITDA 12.8x on fiscal 2026 EBITDA, P/FCF 25.4x and EV/Sales 1.3x. The dividend yield is 4.4%, but fiscal 2027 adjusted EPS guidance of USD 1.15 to 1.35 is below the USD 1.64 annual dividend.

Investment Framework

WHAT IS ATTRACTIVE	A global brand with a 4.4% dividend yield, net financial cash, a valuation at 1.2x sales against 2.8x to 3.9x in fiscal 2022 to 2024, and USD 2.5bn of planned cost savings by fiscal 2031.
WHAT IS CONCERNING	Revenue guided down by a high single-digit percentage in fiscal 2027, EBIT falling by more, Greater China and Converse shrinking, and a dividend that exceeds free cash flow and guided earnings.
WHAT MUST GO RIGHT	Sport-led product (running, basketball) must offset the lifestyle decline, wholesale inventory must clear, and operating margin must rebuild from about 5% toward 11% or more by fiscal 2032.
WHAT COULD BREAK THE THESIS	A permanent loss of lifestyle franchise relevance, a further reset in China, a renewed tariff burden after the one-off recovery, or a dividend cut that removes the yield support.
PRICED IN	A base-case DCF of about USD 40 per share requires a terminal operating margin near 12%; the current price implies about 11%, about two points below the fiscal 2022 to 2024 average of 13.0%.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	High but weakening: ROIC of 17.8% in fiscal 2026 against 35.4% in fiscal 2022 on the same brand franchise.
Financial quality	Moderate: reported earnings include a USD 986m tariff recovery; cash conversion fell to 70% of net income.
Competitive position	Strong brand, narrowing lead in performance categories versus On and Hoka, and share loss in China.
Growth profile	Negative near term: fiscal 2027 revenue guided down by a high single-digit percentage.
Balance-sheet risk	Low: net cash excluding leases of USD 0.5bn and 2.4x gross debt to EBITDA including leases.
Valuation	Reasonable on normalized earnings, expensive on guided fiscal 2027 earnings (28.7x forward).
Market and technical profile	Severe long-term downtrend, stabilizing: 10.1% above the 2 October 2026 low, below the 40-week average.

Source: analyst assessment based on the data in sections B and C.

A. About the Business

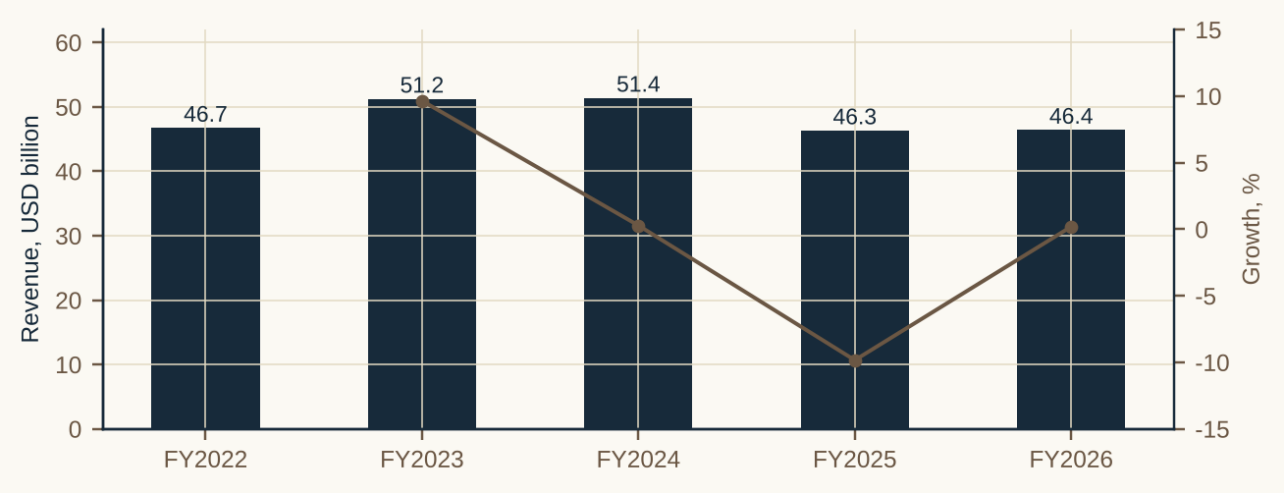
A1. Business Environment

NIKE operates in the global athletic footwear, apparel and equipment industry. The value chain runs from brand owners, who set design, marketing and pricing, through contract manufacturers and materials suppliers in Asia, to wholesale retailers and the brand's own stores and digital platforms. Brand owners capture most of the profit: NIKE's gross margin is 42.9% and the leading peers' range from 45.6% (Under Armour) to 64.8% (On), while contract manufacturers earn a thin processing margin. The main cost pools are product cost, demand creation (marketing and endorsements, USD 4.8bn at NIKE) and operating overhead (USD 11.4bn).

One published estimate sizes the global athletic footwear market at USD 109.7bn in 2020 with a forecast of USD 165.0bn by 2030, a compound growth rate of 4.2%. That estimate predates the 2022 to 2026 period, so it is an order of magnitude rather than a current measure: NIKE's own footwear sales of USD 29.5bn would be about 18% of that 2030 forecast. Capital intensity is low for a manufacturer (NIKE capex was 1.5% of revenue in fiscal 2026) because factories are owned by suppliers, but working capital is heavy: inventory of USD 7.5bn equals 103 days of cost of sales.

The industry is mature in the core markets, cyclical with consumer discretionary spending, exposed to tariff policy because production is concentrated in Vietnam, Indonesia, China and Cambodia, and currently fragmenting: specialist running brands and local Chinese brands are taking share from the two incumbents.

NIKE, Inc. revenue and annual growth



Source: company annual and quarterly reports via StockAnalysis.com, fiscal years ended 31 May. Units: USD billion and percent.

INDUSTRY STAGE: MATURE AND CONSOLIDATING AROUND PERFORMANCE SPECIALISTS

> Demand growth in the category is low to mid single digit, and the incumbents' revenue has stalled (NIKE four-year revenue CAGR of negative 0.2%). Growth is concentrated in niche performance brands, while the lifestyle sneaker cycle that lifted NIKE until fiscal 2023 has reversed. The classification would change if NIKE restores growth in its sport categories faster than lifestyle declines.

A2. What Does the Company Do?

NIKE sells shoes, clothing and equipment under three brands: NIKE (USD 45.2bn in fiscal 2026), Converse (USD 1.2bn, down 31%) and the Jordan brand, which is reported within NIKE Brand. Footwear generated USD 29.5bn (65% of NIKE Brand), apparel USD 13.4bn (30%) and equipment USD 2.2bn (5%). NIKE Brand sales are reported in four geographies: North America (USD 20.5bn), Europe, Middle East and Africa (USD 12.6bn), Greater China (USD 5.8bn) and Asia Pacific and Latin America (USD 6.2bn). Customers are consumers reached through wholesale partners (USD 27.5bn, 61% of NIKE Brand) and NIKE Direct (USD 17.7bn, 39%), which includes 988 NIKE and Converse owned stores and the NIKE app and website. No customer is 10% of revenue; the three largest US customers are about 29% of US sales.

Pricing is set at wholesale and retail, with premium positioning for performance and limited-release products. Revenue is almost entirely non-recurring product sales, although NIKE membership drives repeat purchases. Major costs are product cost (57.1% of revenue in fiscal 2026), demand creation (10.2%) and operating overhead (24.5%). The company employs about 73,000 people.

How one dollar of revenue is used

In fiscal 2026 each dollar of revenue produced 57.1 cents of cost of sales, 42.9 cents of gross profit, 10.2 cents of demand creation, 24.5 cents of overhead and 8.2 cents of operating income. Of the USD 46.4bn of revenue, USD 2.9bn became operating cash flow (6.2 cents), USD 0.7bn went to capex and USD 2.4bn to dividends.

1. CUSTOMER
Consumers reached through wholesale (61%) and NIKE Direct (39%); athletes and teams

2. PRODUCT AND SERVICE
Footwear 65%, apparel 30%, equipment 5% of NIKE Brand; Converse

3. REVENUE
USD 46.4bn: North America 44%, EMEA 27%, Greater China 13%, APLA 13%, Converse 3%

4. COSTS
57.1 cents cost of sales, 10.2 demand creation, 24.5 overhead

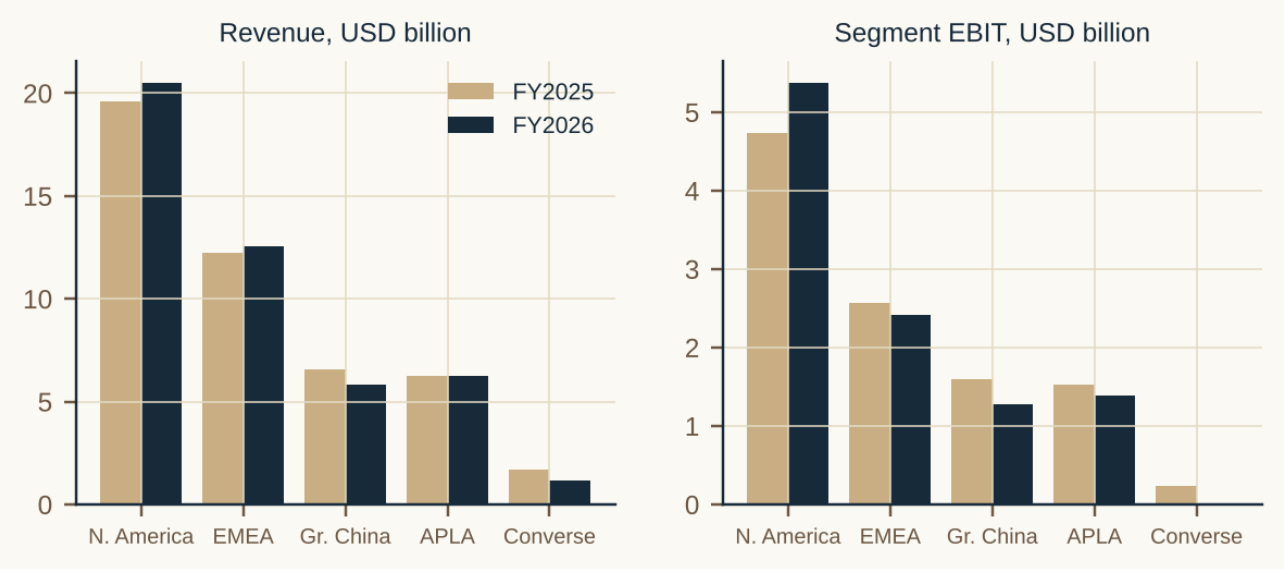
5. OPERATING PROFIT
8.2 cents of operating income; EBIT USD 3.85bn including other income

6. CASH FLOW
Operating cash flow USD 2.87bn, free cash flow USD 2.18bn

7. CAPITAL USE
Dividends USD 2.41bn, buybacks USD 0.15bn, debt USD 7.9bn, capex USD 0.68bn

The most economically important parts of the model are gross margin (each 100 basis points is about USD 460m of operating income), the Direct channel mix, and the North America segment, which earned USD 5.4bn of EBIT, 140% of the company's total EBIT of USD 3.85bn after Global Brand Divisions (negative USD 4.6bn) and Corporate (negative USD 2.0bn) costs.

Revenue and EBIT by segment, fiscal 2025 and 2026



Source: NIKE, Inc. fourth quarter and full-year fiscal 2026 results (reported 30 June 2026). Units: USD billion. Global Brand Divisions (negative USD 4.6bn EBIT) and Corporate (negative USD 2.0bn) are not shown.

SEGMENT RESULTS, FISCAL 2026 (YEAR ENDED 31 MAY 2026), USD MILLION

Segment	Revenue	Change	EBIT	EBIT margin	Prior margin
North America	20,511	4.8%	5,376	26.2%	24.2%
Europe, Middle East and Africa	12,572	2.6%	2,417	19.2%	21.0%
Greater China	5,847	(11.2%)	1,278	21.9%	24.3%
Asia Pacific and Latin America	6,243	(0.1%)	1,387	22.2%	24.4%
Converse	1,174	(30.6%)	18	1.5%	14.2%
Global Brand Divisions	49	2.1%	(4,603)	n/m	n/m
Corporate	2	n/m	(2,023)	n/m	n/m
NIKE, Inc.	46,398	0.2%	3,850	8.3%	8.2%

Source: NIKE, Inc. fiscal 2026 results release. Margins and changes calculated by the analyst. Prior margin is fiscal 2025. EBIT as defined by the company (income before tax plus net interest).

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
Footwear contract manufacturers	15 contract manufacturers run 95 factories in 11 countries; four of them exceed 10% of output each and make about 60% of footwear	Concentration gives suppliers leverage on price and capacity, and country concentration (Vietnam 52%, Indonesia 27%, China 16%) ties margins to tariff policy
Apparel contract manufacturers	64 manufacturers in 321 factories across 34 countries; Vietnam 34%, Cambodia 15%, China 12%	Wide dispersion lowers dependency but not tariff exposure
Materials suppliers	205 strategic Tier 2 suppliers; Air Manufacturing Innovation (wholly owned) supplies Air-Sole cushioning	Control of cushioning technology protects a signature product category
Wholesale customers	Sporting goods, department store and footwear retailers; the three largest US customers are about 29% of US sales and the three largest outside the US about 16%	Retailer health and inventory decisions drive NIKE's wholesale revenue and markdown risk
NIKE Direct	347 US and 641 non-US stores (including Converse), NIKE app and nike.com; USD 17.7bn revenue, down 6%	Higher gross margin than wholesale but heavy fixed costs; digital sales fell 12%
Athletes and endorsers	Endorsement contracts underpin demand creation of USD 4.8bn	Marketing efficiency and athlete relevance drive brand heat
Controlling shareholders	Swoosh, LLC (Philip Knight) holds most Class A shares; Class A elects 8 of 11 directors, Class B elects 3	Control by a founder entity limits activism but entrenches strategy
Subsidiaries and brands	Converse, Jordan Brand, Air Manufacturing Innovation	Converse EBIT fell from USD 240m to USD 18m

Source: NIKE, Inc. Form 10-K for the year ended 31 May 2026 (filed July 2026) and proxy statement of 15 July 2026.

A4. Competition

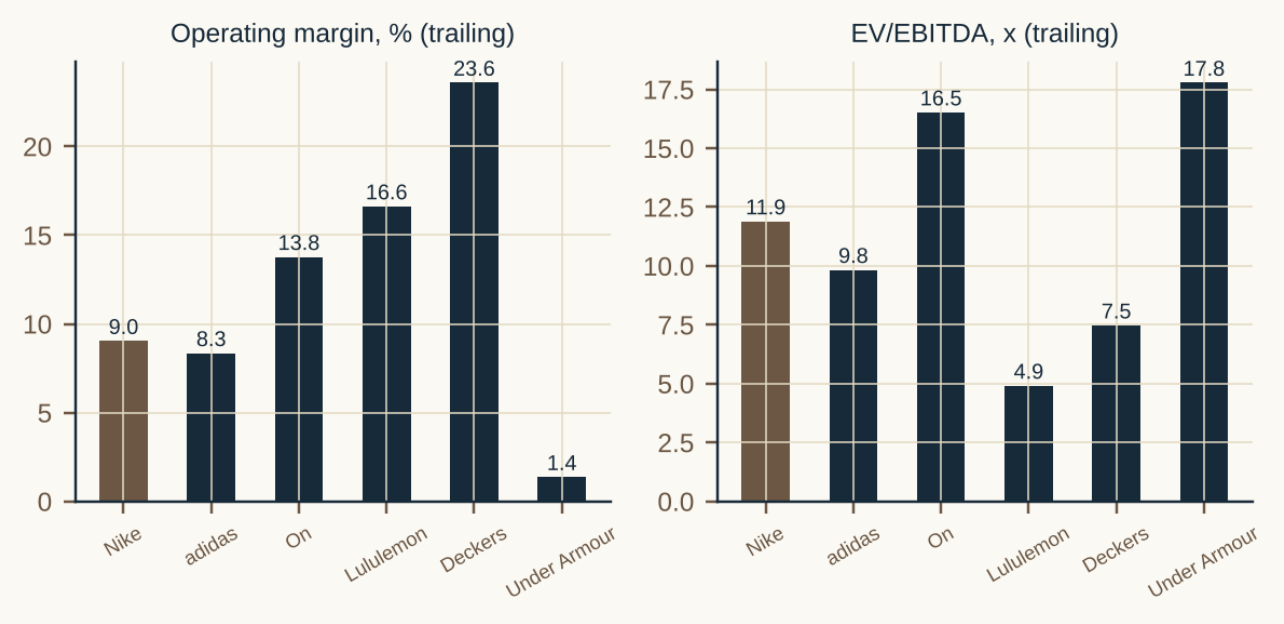
Peers were selected because they compete for the same shelf space, athletes and consumers: adidas and Puma are the closest global competitors; On and Deckers (Hoka) are the fastest-growing performance footwear challengers; lululemon competes for the premium apparel consumer; Under Armour is a smaller US performance rival. Direct competitors are adidas, Puma, On and Hoka; indirect competitors are lululemon and Under Armour, which overlap in apparel and training; the emerging competitors are On and Hoka, still small in revenue; local Chinese brands (Anta, Li Ning) are the geographic competitors in Greater China; resale and private-label products are substitutes. New Balance, ASICS and Skechers are important private or non-US rivals for which comparable listed data was not used.

COMPETITIVE COMPARISON, TRAILING TWELVE MONTHS, LOCAL CURRENCY

Company	Revenue, bn	Gross margin	Op. margin	EV/EBITDA	P/E	Fwd P/E
NIKE (USD)	45.9	43.4%	9.0%	11.9x	17.9x	28.7x
adidas (EUR)	26.0	51.6%	8.4%	9.8x	20.3x	14.7x
On Holding (USD)	4.0	64.8%	13.8%	16.5x	22.2x	17.5x
lululemon (USD)	11.1	54.9%	16.6%	4.9x	8.1x	11.8x
Deckers (USD)	5.6	58.9%	23.6%	7.5x	10.7x	10.3x
Under Armour (USD)	4.9	45.6%	1.4%	17.8x	n/m	63.1x

Source: StockAnalysis.com statistics pages, prices at close 23 October 2026 (Under Armour 20 October 2026). Provider definitions are applied uniformly, so NIKE's operating margin and EV/EBITDA differ slightly from the company-based figures calculated elsewhere in this report. n/m: not meaningful (losses).

Operating margin and EV/EBITDA, NIKE and selected competitors



Source: StockAnalysis.com, close 23 October 2026 (Under Armour 20 October). Units: percent and multiple. adidas in EUR.

NIKE has the largest revenue of the group (USD 45.9bn against EUR 26.0bn at adidas), yet it has the lowest gross margin of the six companies and an operating margin above only adidas and Under Armour. Premium-priced challengers earn higher margins on smaller bases: On at 64.8% gross and Deckers at 58.9% gross and 23.6% operating margin. The valuation gap shows what the market pays for earnings quality: NIKE's forward P/E of 28.7x is the highest in the group except Under Armour because its guided earnings are depressed.

A5. Competitive Differences

Structural advantages are the brand (the largest in the category by revenue), scale in demand creation (USD 4.8bn a year), a global supply chain that spreads production across 34 countries, a founder-aligned controlling structure that supports long-term investment, and a consumer database through NIKE membership. Temporary advantages include athlete endorsements and product cycles, which have to be renewed every season. Disadvantages are tariff exposure from Asia-concentrated production, which it shares with its peers, a sell-through problem in lifestyle franchises, a high-fixed-cost Direct channel that lost 6% of sales, a pricing position that left room for On and Hoka in running, and weak execution in China.

Evidence for the moat is the returns record: ROIC of 30% to 36% in fiscal 2022 to 2024 is exceptional for a consumer products company. Evidence of erosion is that ROIC fell to 17.8% in fiscal 2026, gross margin fell 3.1 points from fiscal 2022, and Converse EBIT collapsed to 1.5% of sales.

MOAT ASSESSMENT: STRONG, BUT NARROWING

> The brand and scale advantages still deliver a mid-teens or better ROIC and a 43% gross margin, but they no longer prevent revenue declines or share loss in running and China. The moat would be rated Very Strong again only if growth and margins recover without heavy discounting.

A6. Industry Trend

Historical growth in athletic footwear has been low to mid single digit over the long term, and a published forecast puts the compound growth rate at 4.2% from 2021 to 2030. Current conditions diverge: NIKE's revenue in the first quarter of fiscal 2027 fell 4% (5% currency-neutral), footwear fell 7.2% to USD 7.2bn and Greater China fell 22%, while specialist peers grow. Structural trends are the shift of demand toward running and performance, the rise of local brands in China, more selective wholesale partners and consumer interest in premium comfort brands. Temporary conditions include the inventory cleanup at wholesale partners, tariff-driven price actions, currency effects, and the post-pandemic lifestyle sneaker normalization.

The trend would reverse if NIKE's sport-led product (running, basketball, training) gains share fast enough to offset lifestyle, if China stabilizes after the digital partner cleanup that management expects to take multiple seasons, or if tariffs are lifted. It would deteriorate if consumer spending weakens or if the lifestyle decline spreads to Jordan.

A7. Management

EXECUTIVE TEAM

Name	Position	Background
Elliott Hill	President and Chief Executive Officer (since 2024)	Joined NIKE in 1988; previously President, Consumer and Marketplace; age 62
Mark Parker	Executive Chairman	Joined 1979; CEO 2006 to 2020; age 70
Dave Denton	EVP and Chief Financial Officer (from 17 August 2026)	CFO of Pfizer since 2022, of Lowe's 2018 to 2022, two decades at CVS Health including CFO
Venkatesh Alagirisamy	EVP, Chief Operating Officer (since December 2025)	Joined 2006; formerly Chief Supply Chain Officer; age 50
Amy Montagne	President, NIKE	Joined 2005; in role since 2025; age 54
Phil McCartney	EVP, Chief Innovation, Design and Product Officer	Joined 1998; in role since 2025; age 51
Matthew Friend	Former CFO (to 17 August 2026)	CFO since 2020; joined 2009; left the company on 4 September 2026

Source: NIKE Form 10-K (executive officers as of 15 July 2026) and Form 8-K of 23 June 2026 on the CFO appointment.

Management is dominated by long-tenured insiders, which preserves brand culture but may have contributed to the late recognition of the lifestyle slowdown. The CEO change in 2024 returned a veteran who joined the company in 1988 to the top, and the pace of leadership change since (new COO, new Chief Innovation Officer, new CFO from outside the sector) shows a deliberate rebuild. Capital allocation has swung: buybacks fell from USD 5.5bn in fiscal 2023 to USD 0.15bn in fiscal 2026 as free cash flow fell, while dividends rose 5% to USD 2.4bn, keeping the dividend as the priority. Under the four-year USD 18bn repurchase program the company retired shares worth only USD 123m in fiscal 2026.

Incentives are performance-linked: about 92% of the CEO's target pay is at risk, and the compensation committee applied negative discretion to cut the fiscal 2026 annual incentive from 101% to 74% of target, a sign of alignment. Annual incentive metrics are adjusted revenue and adjusted EBIT, and long-term awards use adjusted revenue and EPS plus a relative total shareholder return modifier. The board has 11 members, 8 independent, but Class A holders (Swoosh, LLC) elect 8 of the 11. Say-on-pay support was about 94% in 2025. Guidance accuracy is mixed: first-quarter fiscal 2027 EPS of USD 0.48 beat the USD 0.44 consensus while revenue of USD 11.2bn missed the USD 11.3bn expectation.

B. Evaluation

B1. Financial and Operating Metrics

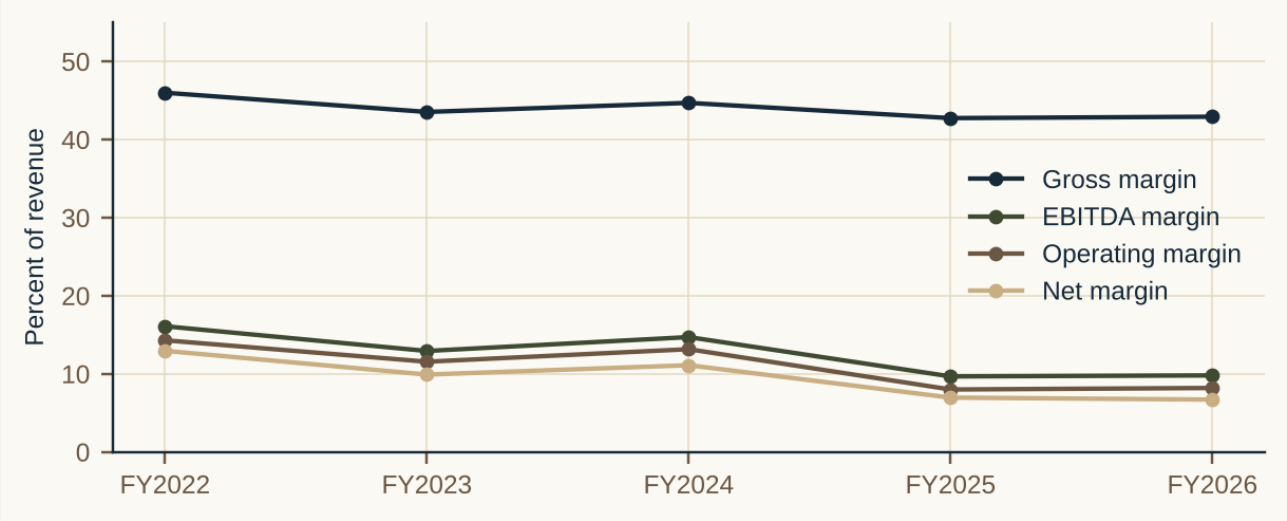
Profitability has compressed on every measure since fiscal 2022. Gross margin fell from 46.0% to 42.9% as discounts, channel mix and tariff costs weighed on the business, and operating margin (gross profit less selling and administrative expense) fell from 14.3% to 8.2% because selling and administrative cost stayed near USD 16bn from fiscal 2023 while revenue stopped growing: that is negative operating leverage. Return on invested capital, calculated with a 21% statutory tax rate on operating income over equity plus debt and leases less cash, fell from 35.4% to 17.8%; this remains above any reasonable cost of capital, which is why the franchise is still valuable.

PROFITABILITY AND RETURNS

Metric	FY2022	FY2023	FY2024	FY2025	FY2026
Gross margin	46.0%	43.5%	44.7%	42.7%	42.9%
Operating margin	14.3%	11.5%	13.1%	8.0%	8.2%
EBITDA margin	16.1%	12.9%	14.7%	9.7%	9.8%
Net margin	12.9%	9.9%	11.1%	7.0%	6.7%
ROE (average equity)	n/a	34.6%	40.1%	23.3%	22.1%
ROIC (21% tax)	35.4%	30.2%	36.0%	19.4%	17.8%

Source: company financial statements via StockAnalysis.com, fiscal years ended 31 May; ratios calculated by the analyst. Operating income is gross profit less selling and administrative expense; EBITDA adds depreciation and amortization. Fiscal 2026 gross profit of USD 19,911m is the company-reported figure.

NIKE, Inc. margin structure, fiscal 2022 to 2026



Source: company financial statements via StockAnalysis.com, analyst calculations. Units: percent of revenue.

Growth has been negative on a four-year view: revenue CAGR of negative 0.2%, EBITDA CAGR of negative 11.8%, net income CAGR of negative 15.3%, diluted EPS CAGR of negative 13.5% and free cash flow CAGR of negative 16.2% (fiscal 2022 to 2026). EPS fell less than net income because the share count fell 5.6% over the period through buybacks, which have now almost stopped. Organic growth is not separately disclosed in the sources used; currency-neutral revenue fell 2% in fiscal 2026 against flat reported revenue.

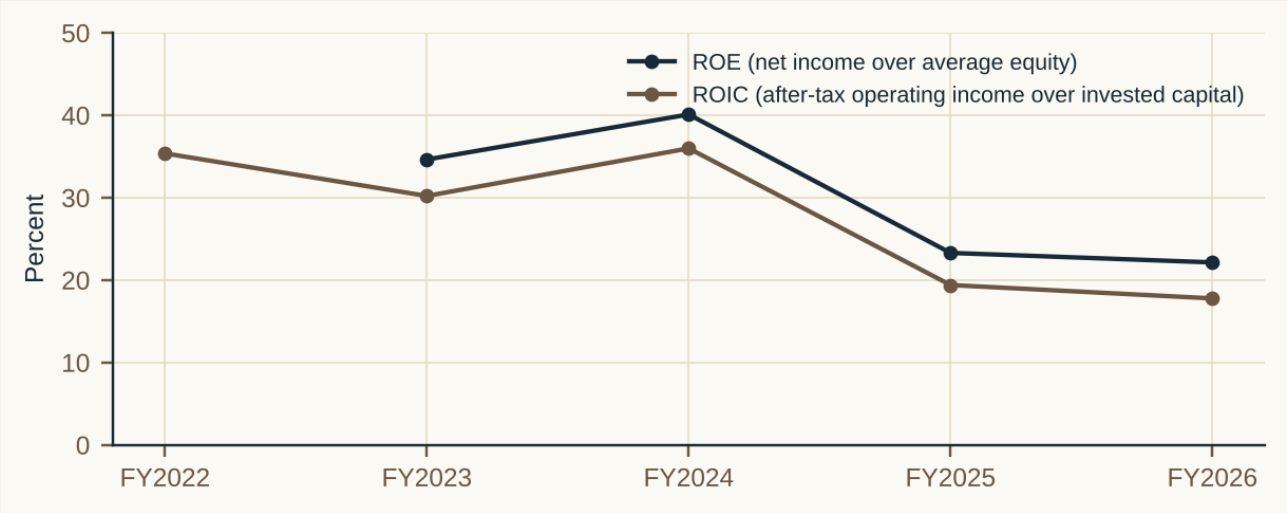
EFFICIENCY, LEVERAGE AND CASH FLOW METRICS

Metric	FY2022	FY2023	FY2024	FY2025	FY2026
Asset turnover (x)	1.16	1.36	1.35	1.27	1.21
Inventory turnover (cost of sales, x)	3.0	3.4	3.8	3.5	3.5
Receivable days	36	29	31	37	47
Inventory days	122	107	97	103	103
Payable days	49	36	37	48	50
Cash conversion cycle, days	110	100	91	92	100
Debt incl. leases / EBITDA (x)	1.7x	1.8x	1.6x	2.5x	2.4x
Net debt incl. leases / EBITDA (x)	-0.05x	0.22x	0.05x	0.42x	0.44x
Net debt excl. leases / EBITDA (x)	-0.47x	-0.26x	-0.35x	-0.27x	-0.24x
Debt incl. leases / equity (x)	0.83x	0.87x	0.83x	0.83x	0.74x
Interest coverage (EBIT / cash interest, x)	23.0x	17.0x	17.7x	9.5x	11.8x
Operating cash flow / net income	0.86x	1.15x	1.30x	1.15x	0.92x
Free cash flow margin	9.5%	9.5%	12.9%	7.1%	4.7%
Capex / revenue	1.6%	1.9%	1.6%	0.9%	1.5%
Free cash flow / net income	0.73x	0.96x	1.16x	1.02x	0.70x

Source: company statements via StockAnalysis.com; calculated by the analyst. Receivable and payable days use year-end balances; payable and inventory days are based on cost of sales. A negative net debt multiple means net cash. Interest coverage uses cash interest paid as the denominator.

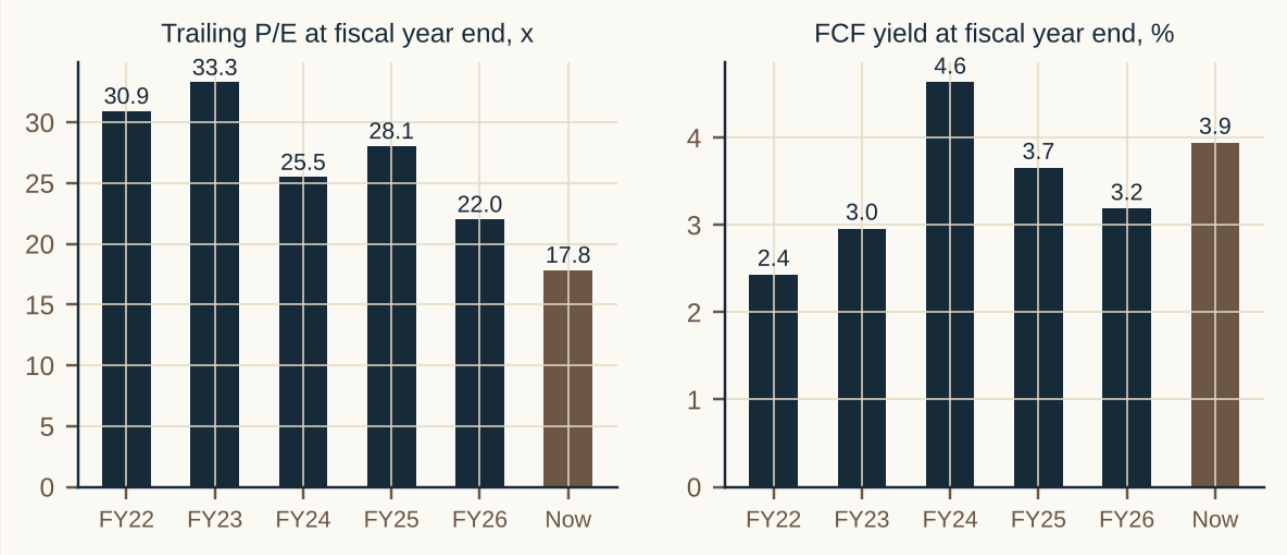
The efficiency data show where the balance sheet is stretching: receivable days rose from 31 to 47 in two years (receivables up USD 1.2bn in fiscal 2026), partly because the expected tariff recovery was booked as income before the cash arrived, and inventory has been held near USD 7.5bn despite lower sales. Free cash flow was only 70% of net income and operating cash flow only 92%, the lowest in the series, which is the opposite of the 115% to 130% of fiscal 2023 to 2025.

Return on equity and return on invested capital



Source: company statements via StockAnalysis.com, analyst calculations, fiscal 2022 to 2026. Units: percent.

Valuation at fiscal year end versus today



Source: month-end closing prices (Alpha Vantage weekly series) and company-reported earnings and free cash flow, analyst calculations. Units: multiple and percent. Prices unadjusted for dividends.

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Brand heat and lifestyle demand	High	Very high	Footwear revenue fell 7.2% in the latest quarter; management said sell-through remains challenged and cuts supply in Sportswear and Jordan
2	Greater China share loss	High	High	Revenue down 22% in the latest quarter, EBIT margin down to 21.9% in fiscal 2026; digital partner cleanup expected to last multiple seasons
3	Tariffs and trade policy	Medium	High	Production is in Vietnam, Indonesia, China and Cambodia; USD 986m of recoveries lifted fiscal 2026, so a reversal or new duties would cut margin
4	Competition in performance	High	Medium	On, Hoka, adidas and local brands compete in running and training
5	Dividend and capital return pressure	Medium	Medium	The USD 1.64 dividend exceeds guided fiscal 2027 adjusted EPS of USD 1.15 to 1.35 and fiscal 2026 free cash flow
6	Wholesale inventory and markdowns	Medium	Medium	Aged footwear at partners must be cleared; inventory is USD 7.8bn
7	Restructuring execution	Medium	Medium	The Pace program costs about USD 1.0bn to save about USD 2.5bn and reorganizes into three geographies from fiscal 2028; CFO and COO are new
8	Currency and macro	Medium	Medium	More than half of revenue is outside the United States; consumer discretionary spending is cyclical
9	Valuation compression	Medium	Medium	Forward P/E of 28.7x relies on earnings recovering from trough
10	Control structure and cybersecurity	Low	Low	Class A control by Swoosh, LLC; information technology and AI risks are listed in the 10-K

Source: analyst assessment using NIKE Form 10-K risk factors, first-quarter fiscal 2027 results and call, and the financial data in this report.

The three risks most capable of permanently impairing shareholder value are the first three: a lasting loss of brand relevance in lifestyle franchises, structural share loss in Greater China to local brands, and a structural margin reset from tariffs. Financial risk is low: net financial cash, USD 8.4bn of liquidity and a debt maturity of USD 2.0bn due within the next year that can be repaid from cash.

B3. Valuation

At USD 37.30 per share and 1,485.3 million shares (Class A 281.4 million plus Class B 1,203.9 million at 28 September 2026) the market capitalization is USD 55.4bn. Debt is USD 7.9bn of bonds plus USD 3.1bn of lease liabilities, and cash and short-term investments are USD 8.4bn, so net debt including leases is USD 2.6bn and enterprise value USD 58.0bn. Excluding leases NIKE holds net cash of USD 0.5bn.

VALUATION MULTIPLES AT USD 37.30

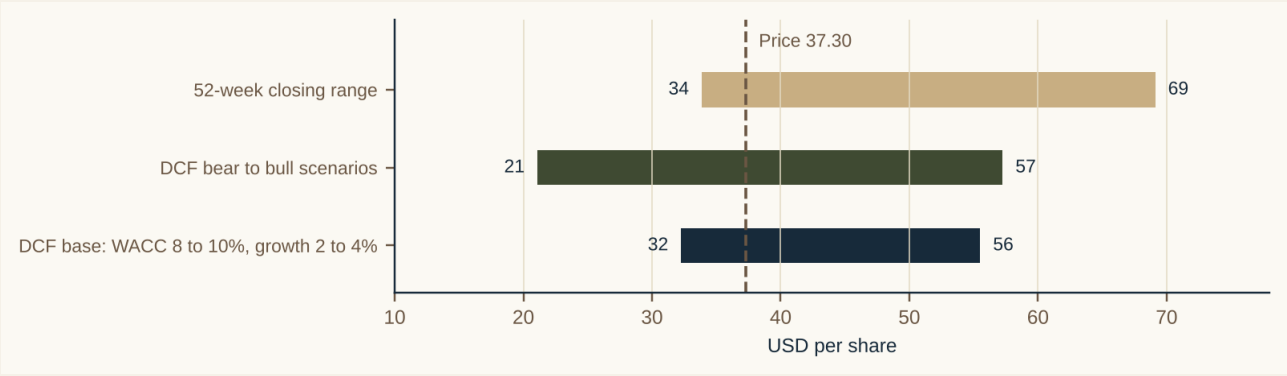
Multiple	Value	Basis
Trailing P/E	17.8x	Diluted EPS USD 2.09, four quarters to 31 August 2026
P/E excluding tariff recovery	23.8x	EPS USD 1.57 after removing USD 0.52
Forward P/E	28.7x	Provider consensus, implied EPS about USD 1.30
EV/EBITDA	12.8x	Fiscal 2026 EBITDA USD 4,544m
EV/EBIT	15.3x	Fiscal 2026 operating income USD 3,797m
Price/sales	1.21x	Revenue USD 45.9bn trailing
P/FCF	25.4x	Fiscal 2026 free cash flow USD 2,184m
EV/FCF	26.6x	Fiscal 2026 free cash flow
Dividend yield	4.4%	USD 1.64 annual dividend
PEG	n/m	EPS growth is negative

Source: analyst calculations from NIKE Form 10-Q (31 August 2026) and fiscal 2026 results; forward P/E from StockAnalysis.com. Enterprise value includes USD 3,091m of lease liabilities at 31 May 2026. EV/EBITDA differs from the provider figure of 11.9x because of definitions.

Against its own history the stock is cheap on sales and on trailing earnings: price/sales of 1.2x compares with 3.9x, 3.2x, 2.8x, 1.9x and 1.5x at the end of fiscal 2022 to 2026, and trailing P/E of 17.8x compares with 22.0x to 33.3x at fiscal year ends. The comparison flatters the stock, because earnings are cyclically depressed and flattered by the recovery: on earnings excluding the recovery the trailing multiple is 23.8x, and on the guided fiscal 2027 range (adjusted EPS USD 1.15 to 1.35) it is 28 to 32x. Against peers (section A4) NIKE trades at a forward P/E above adidas (14.7x), On (17.5x), lululemon (11.8x) and Deckers (10.3x), a premium that only makes sense if earnings recover.

The expectations embedded in the price were tested with a reverse DCF: with revenue growth and WACC as in the base case, the current price is consistent with a terminal operating margin of about 11%, a return to roughly the fiscal 2023 level of 11.5% but not to the fiscal 2022 to 2024 average of 13.0%. The market is therefore pricing in a partial recovery: revenue growth returning to 5% to 6% by fiscal 2030, margins at about 11% by fiscal 2032, and a sustained dividend. These expectations appear **Reasonable** on normalized earnings but depend on execution that has not yet appeared in the numbers; on fiscal 2027 guidance alone they appear optimistic.

Valuation ranges, USD per share



Source: analyst DCF model (section C5) and Alpha Vantage closing prices. The DCF ranges are model outputs under stated assumptions, not price targets.

B4. Capital Market and Stock Analysis

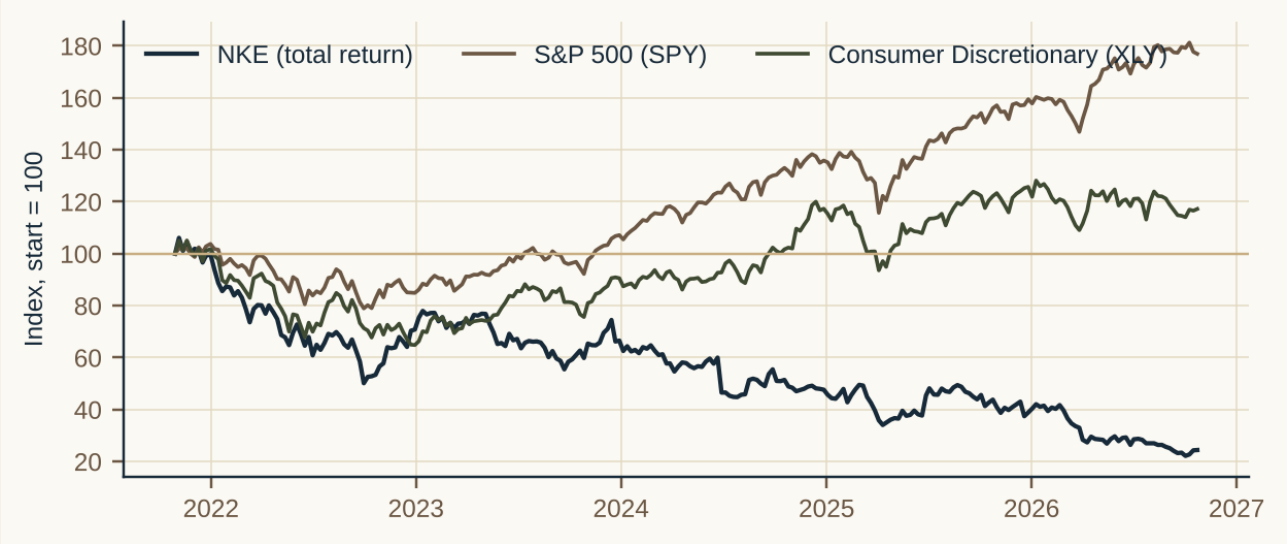
NIKE closed at USD 37.30 on 23 October 2026. The stock has been in a four-year downtrend: it is 79% below its closing high of USD 177.51 on 5 November 2021, set a closing low of USD 33.87 on 2 October 2026, the first session after the first-quarter results, and has since recovered 10.1%. The 52-week closing range is USD 33.87 to USD 69.11. Total returns are shown below (adjusted for dividends, weekly data), with the S&P 500 (SPY) and the Consumer Discretionary Select Sector fund (XLY) as benchmarks.

TOTAL RETURN OVER PERIODS TO 23 OCTOBER 2026

Period	NKE	S&P 500 (SPY)	Consumer Disc. (XLY)
1 day	-2.7%	n/a	n/a
1 week	+0.5%	-0.4%	+0.6%
1 month	+5.0%	-0.2%	+2.1%
3 months	-9.6%	+3.1%	+3.6%
6 months	-14.9%	+7.0%	-4.3%
Year to date	-37.2%	+11.0%	-6.8%
1 year	-42.8%	+15.6%	-2.7%
3 years	-61.0%	+87.1%	+52.8%
5 years	-75.0%	+79.4%	+22.3%
10 years	-16.7%	+316.2%	+214.8%

Source: Alpha Vantage weekly adjusted series (NKE, SPY, XLY), analyst calculations. One-day return from the daily series. Periods measured back from 23 October 2026 to the nearest prior weekly close.

Five-year total return, NIKE versus benchmarks



Source: Alpha Vantage weekly adjusted series, 26 October 2021 to 23 October 2026. Units: index, start = 100.

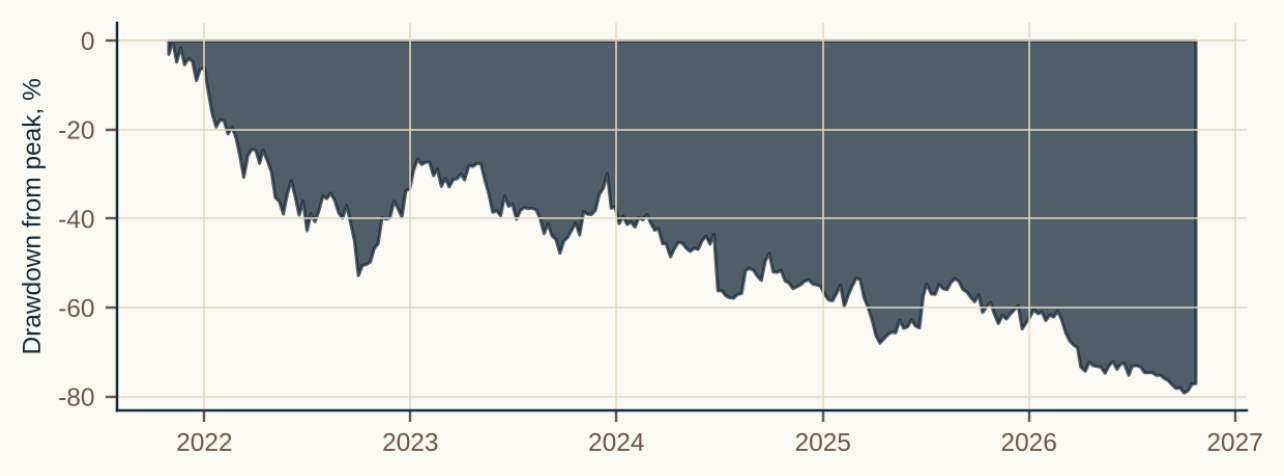
NIKE has lagged both benchmarks over every period of three months or longer. Over five years the total return is negative 75.0% against positive 79.4% for the S&P 500 and positive 22.3% for consumer discretionary stocks, so the underperformance is company-specific rather than a sector effect. The most recent month is the exception: NIKE gained 5.0% while the S&P 500 was flat.

VOLATILITY AND RISK

Measure	Value	Basis
Annualized volatility, 1 year	35.7%	Weekly log returns, calculated
Annualized volatility, 3 years	37.1%	Weekly log returns, calculated
Annualized volatility, 5 years	35.3%	Weekly log returns, calculated
Downside deviation, 1 year	30.8%	Annualized, calculated
Beta versus S&P 500, 5 years	1.02	Weekly, calculated (provider: 1.10)
Beta versus S&P 500, 1 year	0.85	Weekly, calculated
Correlation with S&P 500, 5 years	0.47	Weekly, calculated
Beta versus XLY, 5 years	0.74	Weekly, calculated
Maximum drawdown, 1 year	-49.4%	Peak 24 Oct 2025, trough 2 Oct 2026
Maximum drawdown, 3 years	-70.2%	Peak 15 Dec 2023, trough 2 Oct 2026
Maximum drawdown, 5 years	-79.1%	Peak 5 Nov 2021, trough 2 Oct 2026

Source: Alpha Vantage weekly adjusted series, analyst calculations; provider beta from StockAnalysis.com. Maximum drawdown measured on adjusted closing prices.

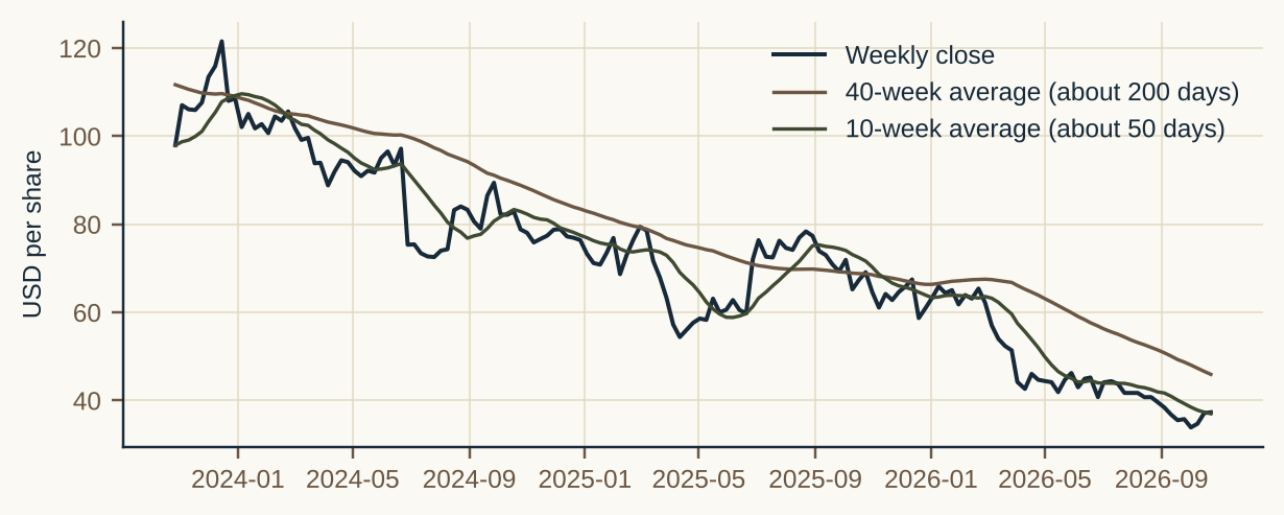
NIKE drawdown from prior peak, five years



Source: Alpha Vantage weekly adjusted series, analyst calculations. Units: percent below running peak.

Volatility has been steady at 35% to 37% over one, three and five years, up from about 28% in the one-year windows ending October 2021 and October 2023, which marks the shift from a defensive compounder to an earnings-risk stock. Beta to the market is only 0.85 to 1.02 and correlation is low (0.28 to 0.47), so the swings come from company news: the largest moves follow company news, such as the 13% weekly fall in the week to 19 December 2025, and volume on 2 October 2026 reached 142.7 million shares, about four times the typical daily volume of 30 to 40 million in recent weeks. NIKE has not recovered any of its drawdown: it is still 79% below the 2021 peak, five years on.

Three-year weekly price with moving averages



Source: Alpha Vantage weekly series, analyst calculations. Units: USD per share. The 40-week and 10-week averages approximate the 200-day and 50-day averages.

The technical structure is a stabilizing base inside a long downtrend. The price is above its 50-day average (USD 37.17) and above the 10-week average (USD 36.98) but well below the 40-week average, which approximates the 200-day average (USD 45.92), so the primary trend remains negative. The 14-day relative strength index is 56, neutral. The MACD line (+0.23) has crossed above its signal line (-0.19), a modest short-term improvement from the early-October low. The 14-day average true range is USD 1.04, or 2.8% of the price, which sets the normal daily range. Support is the USD 33.87 closing low (USD 31.97 intraday); resistance is the 40-week average near USD 46 and the August consolidation near USD 40 to 41. Technical readings describe price behavior, not value: they do not say whether the shares are cheap or expensive, and a low reading of the long-term trend can coexist with an attractive or unattractive valuation.

C. Financial Statements

Accounting framework: US GAAP. Fiscal years end on 31 May. All figures are reported unless stated; ratios and subtotals marked as derived are calculated by the analyst.

C1. Income Statement

INCOME STATEMENT SUMMARY, USD MILLION EXCEPT PER SHARE

Item	FY2022	FY2023	FY2024	FY2025	FY2026
Revenue	46,710	51,217	51,362	46,309	46,398
Growth	4.9%	9.6%	0.3%	(9.8%)	0.2%
Gross profit	21,479	22,292	22,951	19,790	19,911
Selling and administrative (derived)	14,804	16,377	16,197	16,088	16,114
Operating income (derived)	6,675	5,915	6,754	3,701	3,797
Depreciation and amortization	840	703	796	775	747
EBITDA (derived)	7,515	6,618	7,550	4,476	4,544
Net income	6,046	5,070	5,700	3,219	3,108
Diluted EPS, USD	3.75	3.23	3.73	2.16	2.10
Shares outstanding, year end, million	1,571	1,532	1,503	1,476	1,483

Source: NIKE, Inc. annual reports and fiscal 2026 results release; StockAnalysis.com (S&P Global Market Intelligence data). Fiscal 2026 gross profit is the company figure; the provider shows USD 20,065m, a difference of USD 154m we could not reconcile and which is not used. Derived rows calculated by the analyst.

Revenue was flat from fiscal 2024 to 2026 after growing 9.6% in fiscal 2023, and the composition of fiscal 2026 hides a decline in the underlying business: North America rose 4.8% and EMEA 2.6%, while Greater China fell 11.2% and Converse 30.6%. Wholesale grew 6% to USD 27.5bn as partners restocked, while NIKE Direct fell 6% (digital down 12%), so growth came from the lower-margin channel; currency was a small tailwind (reported flat against negative 2% currency-neutral). Price, volume and mix are not disclosed in the sources used.

The gross margin of 42.9% includes the expected recovery of IEEPA tariffs, which added USD 986m in the fourth quarter alone (about 900 basis points of that quarter's 49.2% margin). Removing it, fiscal 2026 gross profit was USD 18,925m and gross margin 40.8%, 190 basis points below fiscal 2025; operating income was about USD 2.8bn (6.1% margin) and EPS about USD 1.58 (USD 2.10 less the USD 0.52 benefit reported for the fourth quarter). This is the most important adjustment in the report: the stated fiscal 2026 profit overstates the run-rate. Selling and administrative expense was flat at USD 16.1bn (demand creation up 1% to USD 4.8bn, overhead flat at USD 11.4bn including severance of about USD 0.3bn), so operating leverage was zero: any revenue shortfall flowed straight to profit. The effective tax rate rose to 20.3% from 17.1%.

Fiscal 2027 has started in line with guidance. First-quarter revenue was USD 11,213m (down 4.3%), gross margin 42.8% against 42.2%, demand creation USD 1,252m (up 5.4%), overhead USD 2,658m (down 6.0%), net income USD 712m and diluted EPS USD 0.48 against USD 0.49. Management guides fiscal 2027 revenue down by a high single-digit percentage, an effective tax rate in the mid-20s, and adjusted EPS of USD 1.15 to 1.35, excluding about USD 0.15 per share of restructuring costs. The company does not say whether the first-quarter margin includes further tariff recoveries.

C2. Balance Sheet

BALANCE SHEET SUMMARY AT 31 MAY, USD MILLION

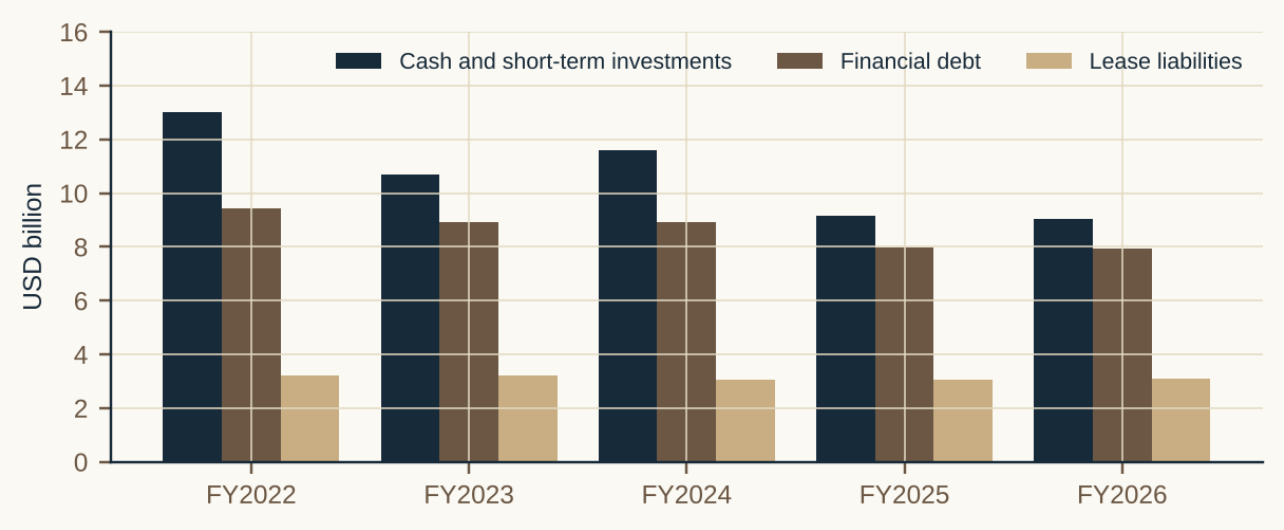
Item	FY2022	FY2023	FY2024	FY2025	FY2026
Cash and short-term investments	12,997	10,675	11,582	9,151	9,027
Receivables	4,667	4,131	4,427	4,717	5,931
Inventories	8,420	8,454	7,519	7,489	7,501
Property, plant and equipment	7,717	8,004	7,718	7,540	7,634
Goodwill and intangibles	570	555	499	499	499
Total assets	40,321	37,531	38,110	36,579	38,410
Accounts payable	3,358	2,862	2,851	3,479	3,600
Financial debt (bonds and short-term)	9,430	8,933	8,940	7,964	7,952
Lease liabilities	3,197	3,211	3,043	3,052	3,091
Total liabilities	25,040	23,527	23,680	23,366	23,545
Shareholders' equity	15,281	14,004	14,430	13,213	14,865
Net debt (cash) excl. leases	(3,567)	(1,742)	(2,642)	(1,187)	(1,075)
Net debt incl. leases	(370)	1,469	401	1,865	2,016

Source: NIKE, Inc. balance sheets via StockAnalysis.com; financial debt and lease liabilities from the provider's debt detail; net debt calculated by the analyst. Negative net debt means net cash. At 31 August 2026 cash and short-term investments were USD 8,368m, bonds USD 7,893m (USD 2,000m current) and net cash excluding leases about USD 475m.

The balance sheet is strong. Cash and short-term investments of USD 9.0bn exceed financial debt of USD 8.0bn, goodwill and intangibles are only 1.3% of assets, and equity of USD 14.9bn funds a low-capital model. Working capital is the pressure point: net debt excluding leases moved from net cash of USD 3.6bn in fiscal 2022 to net cash of USD 1.1bn in fiscal 2026, because shareholder distributions (USD 27.6bn in five years) exceeded free cash flow (USD 21.4bn) by USD 6.2bn. Liquidity ratios are comfortable: the current ratio at 31 May 2026 was 1.96x (current assets USD 24.6bn against current liabilities USD 12.5bn) and the quick ratio, excluding inventory and prepaid items, about 1.2x. The USD 2.0bn bond due within twelve months can be

repaid from cash and refinancing is not a concern. Red flags to watch are the rise in receivables (days up from 31 to 47 over two years, including a recoverable tariff receivable), and inventory that has not fallen with sales. Off-balance-sheet obligations beyond lease and purchase commitments are not identified in the sources used.

Cash, financial debt and lease liabilities



Source: NIKE, Inc. balance sheets via StockAnalysis.com, fiscal 2022 to 2026. Units: USD billion.

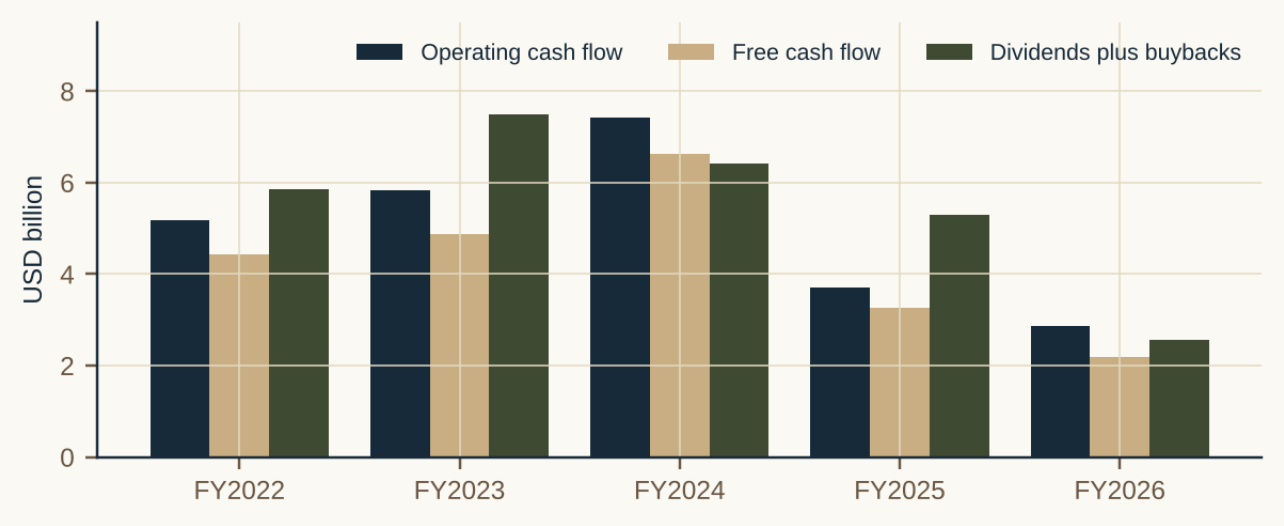
C3. Cash Flow Statement

CASH FLOW SUMMARY, USD MILLION

Item	FY2022	FY2023	FY2024	FY2025	FY2026
Operating cash flow	5,188	5,841	7,429	3,698	2,868
Capital expenditure	(758)	(969)	(812)	(430)	(684)
Free cash flow (derived)	4,430	4,872	6,617	3,268	2,184
Dividends paid	(1,837)	(2,012)	(2,169)	(2,300)	(2,407)
Share repurchases	(4,014)	(5,480)	(4,250)	(2,985)	(146)
Net debt repaid	15	(504)	0	(1,000)	0
Change in working capital	(1,660)	(513)	716	(787)	(1,678)
Stock-based compensation	638	755	804	709	715

Source: NIKE, Inc. cash flow statements via StockAnalysis.com (S&P Global Market Intelligence data), last updated 2 October 2026. Free cash flow equals operating cash flow less capital expenditure.

Operating cash flow, free cash flow and shareholder distributions



Source: NIKE, Inc. cash flow statements via StockAnalysis.com, fiscal 2022 to 2026. Units: USD billion.

Net income and cash generation diverged in fiscal 2026. Net income of USD 3.1bn compares with operating cash flow of USD 2.9bn and free cash flow of USD 2.2bn, because working capital absorbed USD 1.7bn (receivables up USD 1.2bn, payables down USD 1.0bn) and the tariff recovery was recorded as income before cash was received: only about USD 0.3bn of the USD 986m had been collected by year end. Free cash flow margin fell from 12.9% in fiscal 2024 to 4.7%. Dividends of USD 2.4bn were 110% of free cash flow, and total distributions in the last five years (USD 27.6bn) were 129% of free cash flow, financed by drawing cash down by USD 4.0bn and by net debt repayment. Buybacks almost stopped in fiscal 2026 and no shares were repurchased in the first quarter of fiscal 2027. In that quarter operating cash flow was USD 135m, capex USD 199m and dividends USD 610m, so free cash flow was negative USD 64m and cash and short-term investments fell by USD 0.7bn to USD 8.4bn. Capex intensity of 1.5% of revenue is low; the sources used do not split maintenance from growth capex.

C4. Forecasting and Projections

Revenue modeling starts from guidance: fiscal 2027 revenue down by a high single-digit percentage, modeled at negative 8.0%, driven by Greater China (down 22% in the first quarter), Converse (down 28%) and NIKE Direct (down 8%), partly offset by North America (up 2.1%). From fiscal 2028 the base case assumes growth of 2.5%, 5.0%, 6.0%, 5.5%, 5.0% and 4.5% as the inventory cleanup ends and sport categories grow, with Greater China the main swing. Price, volume and mix cannot be separated from the sources used; the model treats growth as net volume and mix with flat price.

Margin projections: operating margin (EBIT, after stock-based compensation and restructuring) of 5.1% in fiscal 2027, consistent with guided GAAP EPS of about USD 1.10 (adjusted USD 1.25 less USD 0.15), rebuilds to 6.5%, 8.5% and 10.5% over the next three years and reaches 12.0% by fiscal 2032. Drivers are the Pace savings of about USD 2.5bn through fiscal 2031 (most of it in fiscal 2029 and 2030), lower markdowns as inventory normalizes, and better channel mix; the offsets are tariffs and continued demand creation. R&D is not separately disclosed in the sources used. Capital expenditure is modeled at 2.0% of revenue (1.5% in fiscal 2026), depreciation at 1.8%, and working capital at 12% of incremental revenue, based on fiscal 2026 operating working capital of USD 5.5bn or 11.9% of revenue.

BASE CASE PROJECTION, USD MILLION

USD million	FY2027	FY2028	FY2029	FY2030	FY2031	FY2032	FY2033
Revenue	42,686	43,753	45,941	48,697	51,376	53,945	56,372
Growth	-8.0%	2.5%	5.0%	6.0%	5.5%	5.0%	4.5%
Operating profit (EBIT)	2,177	2,844	3,905	5,113	5,908	6,473	6,765
EBIT margin	5.1%	6.5%	8.5%	10.5%	11.5%	12.0%	12.0%
Unlevered free cash flow	2,015	1,974	2,652	3,509	4,125	4,568	4,805

Source: analyst model. Fiscal years ending 31 May. Free cash flow is unlevered: after-tax operating profit plus depreciation less capex and working capital investment. Not company guidance except for the fiscal 2027 revenue direction.

SCENARIO ASSUMPTIONS AND OUTPUTS

Assumption or output	Bear	Base	Bull
Fiscal 2027 revenue growth	(10.0%)	(8.0%)	(6.0%)
Revenue CAGR, FY2026 to FY2033	0.3%	2.8%	4.5%
Terminal operating margin	8.0%	12.0%	14.0%
WACC	9.5%	9.0%	8.5%
Terminal growth	2.5%	3.0%	3.0%
Enterprise value, USD bn	30.9	59.2	84.6
Equity value per share, USD	21.1	40.2	57.3
Versus USD 37.30	-43%	+8%	+53%

Source: analyst model; scenario outputs are results of stated assumptions, not forecasts of the share price.

Sensitivity analysis is in section C5: value per share varies from about USD 32 to USD 56 across WACC of 8.0% to 10.0% and terminal growth of 2.0% to 4.0%, and from about USD 28 to USD 55 across terminal margins of 9% to 15% and revenue growth of two points above or below the base case.

C5. Discounted Cash Flow (DCF) Model

The DCF discounts seven fiscal years of unlevered free cash flow (fiscal 2027 to 2033) and a Gordon-growth terminal value. Valuation date is 24 October 2026; only the last 75% of fiscal 2027 cash flow is counted because the first quarter has passed, and cash flows are discounted from the fiscal year end (0.6 years for fiscal 2027). WACC is 9.0%: cost of equity 9.95% (risk-free rate 5.00%, the 10-year US Treasury par yield on 23 October 2026, plus a beta of 1.10 and an equity risk premium of 4.5%, an analyst assumption) and an after-tax cost of debt of about 3.5% at a 17% debt weight, which gives 8.9% and is rounded up to 9.0%. Tax rate is 24% in fiscal 2027 and 23% afterwards (guidance is mid-20s). Terminal value uses 3.0% growth and a reinvestment rate of 15% of NOPAT (growth over an assumed 20% return on new capital). The base case enterprise value is USD 59.2bn, of which 73% is the present value of the terminal value (USD 43.0bn present value of a USD 76.0bn terminal value). Net cash excluding leases of USD 475m is added (operating lease cost is already within operating profit) to give an equity value of USD 59.7bn, or USD 40.2 per share on 1,485.3 million shares. Varying WACC between 8.5% and 9.5% and terminal growth between 2.5% and 3.5% gives a valuation range of roughly USD 36 to 46 per share around a base value near USD 40, with the current price of USD 37.30 at the lower end of that range; the full grid spans USD 32 to USD 56.

SENSITIVITY: WACC (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), VALUE PER SHARE, USD

WACC	g 2.0%	g 2.5%	g 3.0%	g 3.5%	g 4.0%
8.0%	43.9	46.0	48.6	51.7	55.5
8.5%	40.3	42.0	44.0	46.4	49.2
9.0%	37.2	38.6	40.2	42.0	44.2
9.5%	34.6	35.7	37.0	38.4	40.1
10.0%	32.3	33.2	34.2	35.4	36.7

Source: analyst model, base case cash flows.

SENSITIVITY: REVENUE GROWTH AND TERMINAL OPERATING MARGIN, VALUE PER SHARE, USD

Growth vs base, FY2028 on	9.0%	10.5%	12.0%	13.5%	15.0%
-2 points a year	28.0	32.3	36.6	41.0	45.3
-1 points a year	29.3	33.8	38.4	42.9	47.5
+0 points a year	30.6	35.4	40.2	45.0	49.8
+1 points a year	32.0	37.0	42.1	47.2	52.2
+2 points a year	33.4	38.8	44.1	49.4	54.8

Source: analyst model. Rows change annual revenue growth from fiscal 2028; columns change the terminal operating margin, with the margin path scaled in proportion. WACC 9.0%, terminal growth 3.0%.

Assumptions: revenue growth and margins as in the base case table; tax 24% then 23%; capex 2.0% and depreciation 1.8% of revenue; working capital 12% of incremental revenue; WACC 9.0%; terminal growth 3.0%; net cash excluding leases USD 475m at 31 August 2026; 1,485.3 million shares outstanding at 28 September 2026. Stock-based compensation (about USD 0.7bn a year) is treated as a cash-equivalent cost because it is inside operating profit. Restructuring costs are inside the operating margin path.

C6. Leveraged Buyout (LBO) Model

Not applicable. An LBO is not a meaningful lens for NIKE: at an enterprise value of USD 58bn it would be the largest leveraged buyout ever attempted, the founder-controlled Class A structure means no sale can occur without Swoosh, LLC, and gross margin pressure and negative free cash flow in the latest quarter would not support the high leverage an LBO requires.

D. Investment Thesis

Bull Case

Revenue stabilizes in fiscal 2028 and grows 7% to 8% by fiscal 2030 as running, basketball and training products win share back from On, Hoka and adidas, wholesale inventory clears and Greater China stops declining after the digital partner cleanup. Pace savings of about USD 2.5bn through fiscal 2031 and lower markdowns lift operating margin to 14% by fiscal 2032, the top of the fiscal 2022 to 2024 range (11.5% to 14.3%). With buybacks resuming under the USD 18bn authorization and the dividend maintained, the DCF value is about USD 57 per share (WACC 8.5%), and the market could re-rate toward the valuations of fiscal 2023 and 2024 year ends (25x to 33x trailing earnings, 2.8x to 3.2x sales).

Bear Case

Fiscal 2027 revenue falls 10% and growth stays near zero for several years as the lifestyle franchises (Sportswear and Jordan, where management is already cutting supply) continue to fade and Greater China share goes to local brands. Tariffs persist while the one-off recovery fades, gross margin returns to about 40% and operating margin stays near 8%. Free cash flow remains below the dividend, forcing a dividend freeze or cut and a re-rating of the shares from a yield stock to a turnaround. At a 9.5% WACC the DCF value is about USD 21 per share, 43% below the current price, and the 79% drawdown from the 2021 peak is a reminder that further declines are possible.

Base Case

Revenue falls about 8% in fiscal 2027 (guidance), returns to growth of 2.5% in fiscal 2028 and 5% to 6% by fiscal 2030, while the operating margin rebuilds from 5.1% to 10.5% by fiscal 2030 and 12% by fiscal 2032, helped by Pace savings. The dividend is maintained but grows slowly; buybacks stay small until free cash flow covers the dividend again. At a 9.0% WACC and 3.0% terminal growth the DCF value is about USD 40 per share, within a range of USD 36 to 46 for plausible discount rates and terminal growth, so the current price of USD 37.30 is close to base-case value and offers a modest margin of safety, not a deep discount.

Catalysts

POTENTIAL CATALYSTS

Event	Timing	Why it matters
Investor Day	November 2026	Management said it will provide detail on its long-term growth algorithm and on splitting Sportswear into more focused consumer segments
Second-quarter fiscal 2027 results	Expected December 2026 (date not confirmed in sources)	Tests the 400 basis point headwind management flagged from prior-year EMEA Cyber Week promotions and stronger North American sell-in
Holiday sell-through	November to December 2026	Shows whether wholesale partners are clearing aged footwear and whether sport-led product is gaining
Greater China reset	Fiscal 2027 and 2028	Cleanup of digital distribution is expected to take multiple seasons; stabilization would remove the largest source of decline
Tariff recovery cash	Fiscal 2027	About USD 0.3bn of the USD 986m recovery was received in fiscal 2026; the balance of roughly USD 0.7bn (derived) would support free cash flow
Reorganization and Pace savings	Effective fiscal 2028; most savings in fiscal 2029 and 2030	Three geographies and about USD 2.5bn of cumulative savings through fiscal 2031

Source: NIKE, Inc. first-quarter fiscal 2027 results and call (1 October 2026); fiscal 2026 results release; analyst derivation where marked.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Gross margin excluding recoveries	Shows the true tariff and pricing effect	Above 42% without one-offs	Below 40.8%, the fiscal 2026 level excluding the recovery
Greater China revenue	Largest negative trend	Decline narrows below 10%	Decline stays above 20%
Footwear revenue	65% of NIKE Brand revenue	Flat or growing	Another year of mid single-digit declines
Free cash flow versus dividend	Dividend of USD 2.4bn is not covered	Free cash flow above USD 2.4bn	Dividend frozen or cut
Inventory and aged wholesale stock	Markdown risk	Inventory falling with sales	Inventory above USD 7.8bn with falling sell-through
NIKE Direct and digital sales	Higher margin channel	Digital decline slows	Digital decline continues above 10%
Operating margin	Core of the recovery thesis	Above 6.5% in fiscal 2028	Below 5% in fiscal 2028
Converse EBIT	Test of portfolio brands	Margin back above 10%	Losses

E. Final Investment Framework

BUSINESS QUALITY	High but deteriorating. Revenue of USD 46.4bn, a 42.9% gross margin and a 17.8% ROIC describe a strong franchise whose returns have halved since fiscal 2022.
FINANCIAL QUALITY	Moderate. Fiscal 2026 earnings include a USD 986m tariff recovery, free cash flow covers only 91% of the dividend, and receivables days rose from 31 to 47.
COMPETITIVE POSITION	Strong but narrowing. The brand and scale remain unmatched, yet specialists out-grow NIKE in running and local brands out-grow it in China.
MANAGEMENT	Rebuilding. A long-tenured CEO since 2024, a new CFO from Pfizer (August 2026) and a new COO; incentives are performance-linked but strategy execution is unproven.
INDUSTRY	Mature, low growth, consolidating around performance specialists, and exposed to tariffs and consumer cycles.
VALUATION	Reasonable on normalized earnings, demanding on guided earnings: DCF value near USD 40 (range USD 36 to 46) against a price of USD 37.30, 12.8x EV/EBITDA and 28.7x forward P/E.
TECHNICAL AND MARKET STRUCTURE	Primary downtrend, early stabilization: 79% below the 2021 high, 10.1% above the October 2026 low, below the 40-week average, RSI neutral at 56.
PRINCIPAL RISK	Permanent loss of lifestyle brand relevance combined with structural share loss in Greater China.
PRINCIPAL CATALYST	Evidence at the November 2026 Investor Day and in the next two quarters that sport-led growth and Pace savings can rebuild operating margin toward 10%.
KEY VARIABLE	Operating margin recovery, specifically gross margin excluding tariff recoveries: each 100 basis points is about USD 460m of operating income, or about USD 0.24 of EPS after tax.
THESIS INVALIDATION	The investment thesis would become materially weaker if gross margin excluding one-off recoveries stays below 40.8% for four consecutive quarters, if fiscal 2028 revenue growth is below 2%, if Greater China revenue declines by more than 15% for another fiscal year, or if the dividend is cut before free cash flow covers it.

F. Data Table

Category	Metric	Current	Prior year	5Y trend
Market	Market capitalization	USD 55.4bn	USD 102.0bn	Down 46%
Market	Enterprise value	USD 58.0bn	USD 103.9bn	Down 44%
Market	Share price	USD 37.30	USD 69.11	Total return (75.0%)
Growth	Revenue growth	0.2%	(9.8%)	CAGR (0.2%)
Profitability	Gross margin	42.9%	42.7%	46.0% to 42.9%
Profitability	Operating margin	8.2%	8.0%	14.3% to 8.2%
Profitability	Net margin	6.7%	7.0%	12.9% to 6.7%
Profitability	ROE	22.1%	23.3%	34.6% to 22.1%
Profitability	ROIC	17.8%	19.4%	35.4% to 17.8%
Cash flow	Operating cash flow	USD 2,868m	USD 3,698m	USD 5.2bn to 2.9bn
Cash flow	Free cash flow	USD 2,184m	USD 3,268m	USD 4.4bn to 2.2bn
Leverage	Net debt / EBITDA (incl. leases)	0.44x	0.42x	(0.05x) to 0.44x
Valuation	P/E	17.8x	32.0x	22.0x to 33.3x at year ends
Valuation	EV/EBITDA	12.8x	23.2x	Not retrieved
Valuation	P/FCF	25.4x	31.2x	Not retrieved
Market	Beta (weekly, versus S&P 500)	0.85 (1Y); 1.02 (5Y)	0.98 (1Y)	0.92 (3Y)
Market	Volatility (annualized)	35.7% (1Y)	36.8% (1Y)	37.1% 3Y
Market	Maximum drawdown	(49.4%) (1Y)	(31.2%) (1Y)	(79.1%) (5Y)
Income	Dividend yield	4.4%	Not retrieved	Dividend up 31% in 4 years

Source: analyst calculations from NIKE, Inc. filings, StockAnalysis.com and Alpha Vantage. Current valuation uses the price at 23 October 2026 and trailing or fiscal 2026 financials. Prior year uses the price at 24 October 2025 with fiscal 2025 financials and 1,476m shares. Prior-year market cap and EV are therefore approximations. Trend column: fiscal 2022 to 2026 unless stated.

G. Sources and Methodology

Data cross-check

Company filings were preferred over data providers. The closing price (USD 37.30 on 23 October 2026), daily volume (25.9 million) and the daily price series agree between the two market-data providers used. Fiscal 2026 revenue (USD 46,398m), net income (USD 3,108m) and EPS (USD 2.10) agree between the company release and the financial data provider. Three differences were resolved in favor of the company: fiscal 2026 gross profit (company USD 19,911m against provider USD 20,065m), operating income (provider USD 4,182m against USD 3,797m derived from company gross profit less selling and administrative expense, and company EBIT of USD 3,850m), and enterprise value (provider USD 58.16bn against USD 58.02bn calculated from the 31 August 2026 balance sheet and the 31 May 2026 lease liability). The provider beta of 1.10 differs from the weekly beta of 0.85 to 1.02 calculated in this report; both are shown. Peer data are from one provider with uniform definitions; adidas figures are in euros. The industry size estimate is a dated 2020 base with a 2030 forecast and is used only as an order of magnitude.

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Calculations

Calculated by the analyst from the sources above: operating income (gross profit less selling and administrative expense), EBITDA, free cash flow, margins, ROE (net income over average equity), ROIC (operating income after 21 percent tax over equity plus debt and leases less cash), turnover and days ratios, net debt, market capitalization (USD 37.30 times 1,485.3 million shares), enterprise value, valuation multiples, trailing twelve month figures (fiscal 2026 plus first quarter fiscal 2027 less first quarter fiscal 2026), returns, annualized weekly

volatility, beta, correlation, drawdown, moving averages, RSI, MACD, average true range, the tariff-adjusted gross margin and EPS, the reverse DCF, and the base, bull and bear DCF scenarios with sensitivity tables. Forward P/E is the provider figure; the implied forward EPS of about USD 1.30 is derived from it. Estimates and assumptions are those stated in sections C4 and C5.

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